



Qualification Programme Examination Panelist's Report

Module 9 – Principles of Taxation (December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 10 multiple choice questions. Candidates were required to answer all questions. The syllabus of the questions related broadly to the following topics:

- (a) Tax administration;
- (b) Property tax;
- (c) Salaries tax;
- (d) Profits tax;
- (e) Personal assessment; and
- (f) Stamp duty.

Candidates' overall performance in this section was not good. The questions covered non-computational questions and computational questions. Candidates' performance in computational questions was better, which showed that candidates put more effort in computational areas when they were preparing for the examination.

Specific Comments

The wide range of topics in the syllabus seemed to be a source of difficulty for candidates. Candidates showed particular weakness in the following areas:

- (a) Tax administration – penalty and Board of Review; and
- (b) Property tax – statutory definition of owner.

Candidates were advised that multiple choice questions could cover every part of the syllabus. They should have had adequate coverage and knowledge of all topics in the syllabus when they prepared for the examination.



(II) Section B – Written Questions

General Comments

The questions in this section tested the candidates on their conceptual understanding and their ability to apply their knowledge to specific situations that are commonly tackled by tax professionals in their work. Overall performance in this section was less than satisfactory. Many candidates demonstrated a basic understanding of the computation of tax liability under each type of tax. However, many were reluctant to answer essay-type questions. Candidates could not present their answers properly as required in the questions.

Specific Comments

Question 1(a) – 20 Marks

This question required candidates to compute the profits tax liability of a partnership business.

Performance was satisfactory. Candidates generally showed a basic knowledge of profits tax computation. Yet, candidates should note that:

- (a) renovation expenditure should be allowed by 5 equal years of assessment instead of allowed under commercial building allowance;
- (b) as the partnership had a corporate partner, preparation of profit and loss allocation was required; and
- (c) a different tax rate should be applied to the individual partner and the corporate partner.

Question 1(b)(i) – 2 Marks

This question required candidates to analyse the treatment of compensation paid for the cancellation of a contract for purchasing office premises.

Performance was unsatisfactory. Most candidates could not explain why the compensation payment was not deductible.

Question 1(b)(ii) – 4 Marks

This question required candidates to analyse the tax treatment of interest received.

Performance was poor. Candidates failed to give a thorough analysis as to why the interest income was taxable and Interest Exemption Order 1998 could not apply. Candidates failed to explain the effect of the secure loan to the Interest Exemption Order 1998.



Question 2(a) – 3 Marks

This question required candidates to compute the total number of days attributable to Hong Kong services under non-Hong Kong employment under the salaries tax.

Performance was satisfactory. Most candidates were able to present the answer correctly.

Question 2(b) – 4 Marks

This question required candidates to compute the share option gain chargeable to salaries tax.

Performance was good. Most candidates computed the amount of share option gain. However, many candidates did not apportion the gain attributable to Hong Kong services. Although some candidates applied apportionment, they incorrectly used the number of days of services in Hong Kong in the year of exercise of the option for the apportionment.

Question 2(c) – 11 Marks

This question required candidates to compute the salaries tax liability of an employee under non-Hong Kong employment.

Candidates performed well in this question. Most candidates were able to apportion the chargeable income. Some candidates failed to include the salaries tax paid by the employer in the computation of rental value. In the calculation of salaries tax liability, some candidates applied the standard rate on the net chargeable income instead of the assessable income before personal allowances.

Question 3(a) – 2 Marks

This question required candidates to identify the officers of the Inland Revenue Department who could make an assessment to additional tax under s.82A of the Inland Revenue Ordinance.

Performance was not good. Most candidates were unable to identify the officers.

Question 3(b) – 7 Marks

This question required candidates to describe the requirements of a valid appeal against an assessment to additional tax under s.82A of the Inland Revenue Ordinance.

Performance was also not good. Candidates were unable to describe the appeal procedure properly. Candidates did not know what was the assessment to additional tax under s.82A. Candidates did not know that the appeals should be addressed to the clerk to the Board of Review instead of the Commissioner of Inland Revenue. Candidates wrongly applied the objection procedures in their answer.

Question 4 – 9 Marks

This question required candidates to compute the respective amounts of industrial building allowance and the balancing adjustment upon disposal of the industrial building.

Performance was not satisfactory. Most candidates failed to calculate the amount of cost of purchase attributable to qualifying expenditure. They also failed to include the decoration expenses in the qualifying expenditure for the purpose of industrial building allowance. Some candidates used the reduced value for calculating the annual allowance instead of using the qualifying expenditure.

Question 5(a) – 3 Marks

This question required candidates to describe an individual owner's obligations regarding the keeping of records of the rental income of a property in Hong Kong.

Performance was poor. Most candidates mentioned the seven-year retention requirement only, and nearly all of them failed to mention the circumstances where preservation of records was not required.

Question 5(b) – 6 Marks

This question required candidates to compute the net assessable value of a property in Hong Kong.

Performance was good. Candidates possessed knowledge of the presentation format of the net assessable value under property tax. However, some candidates did not know that only rates agreed to be paid by the landlord were deductible from the assessable value, therefore rates paid by the landlord for the vacant period were not deductible.

Question 6 – 9 Marks

This question required candidates to analyse and compute the amount of stamp duty payable on the agreement for sale and purchase and conveyance on sale, respectively, upon the purchase of a residential property.

Performance was average. Candidates failed to analyse clearly the application of the stamp duty under each scenario. Many candidates did not describe the stamp duty implication arising from the conveyance on sale. In relation to the conveyance on sale, many candidates did not realise that ad valorem duty and special stamp duty was based on half the value of the property, whereas buyer's stamp duty was based on the whole value of the property.



(III) Conclusion and Recommendation

Overall, the performance of the candidates was satisfactory. This paper consisted of computational questions and essay-type questions. Candidates were able to answer the computational questions well. They possessed a basic understanding of the computational format of the chargeable income/ profits/ value under salaries tax, profits tax, and property tax. However, they were reluctant to answer the essay-type parts, or they were unable to analyse or clearly explain what was required. Candidates are advised not just to focus their studies on the computational parts of the syllabus if they want to get good results.

Candidates are reminded to study the questions carefully and answer what is required. They are also advised to show their workings clearly in their answers.